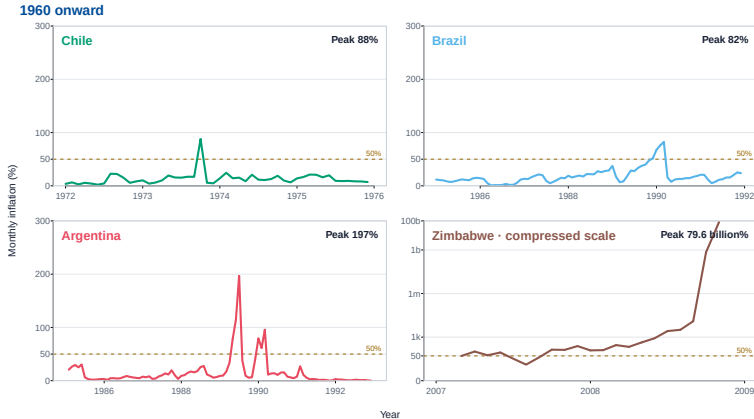
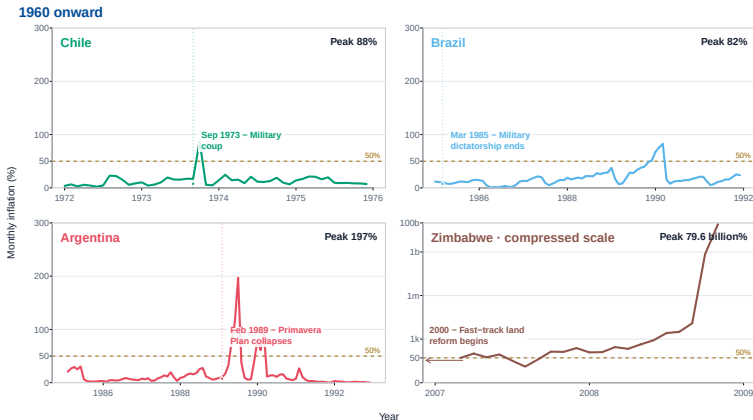


Extreme Inflation in Calendar Time



Source: Monthly prices: World Bank; Argentina open data; Hanke and Kwok (2009).

Institutional Turning Points



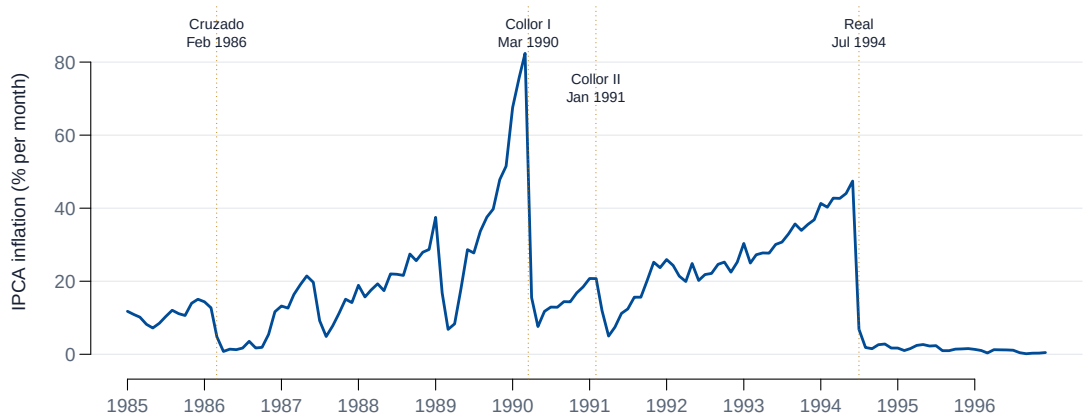
Source: Institutional dates: Library of Congress; IMF (Argentina, Zimbabwe); World Bank, Brazil.

The Collor Deposit Freeze

- ▶ **The policy:** in March 1990, conversion of demand deposits and savings was limited to NCz\$50,000. The excess was temporarily blocked.
- ▶ **The immediate constraint:** affected households and firms could not freely use those balances for purchases and payments.
- ▶ **The distinction:** access to money and the purchasing power of money are different problems. A deposit freeze does not itself establish lasting price stability.

Source: Law 8,024, articles 5 to 7; Banco Central do Brasil.

Inflation in Brazil, 1985 to 1996



Source: IBGE, IPCA; Banco Central do Brasil, SGS 433. Policy dates: BCB.

Price Controls and Shortages

- ▶ Brazil's Cruzado Plan froze prices in 1986. Citizen monitors checked shops.
- ▶ A binding price ceiling leaves buyers wanting more than sellers supply.
- ▶ Enforcing a posted price does not guarantee that a product is available.



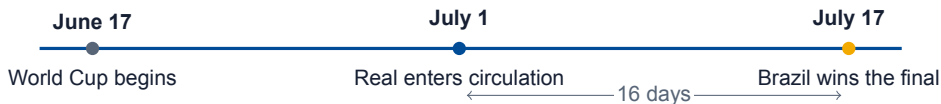
Source: TV Globo / Memória Globo, October 11, 1986.

The Plano Real: One Reference, One Currency

- ▶ Many prices and contracts used dollars or different inflation indexes as competing references.
- ▶ From March through June 1994, prices and contracts gradually moved to the **URV**. Payments still used cruzeiros reais.
- ▶ One official Brazilian reference coordinated domestic prices and became the bridge to the real.

Four months to implement

The elected government converted contracts, prepared and distributed the new currency, and explained the rules before launch.



Source: BCB, The Real Plan; IMF, unified URV reference; FIFA, 1994 final.

URV: A Simple Example

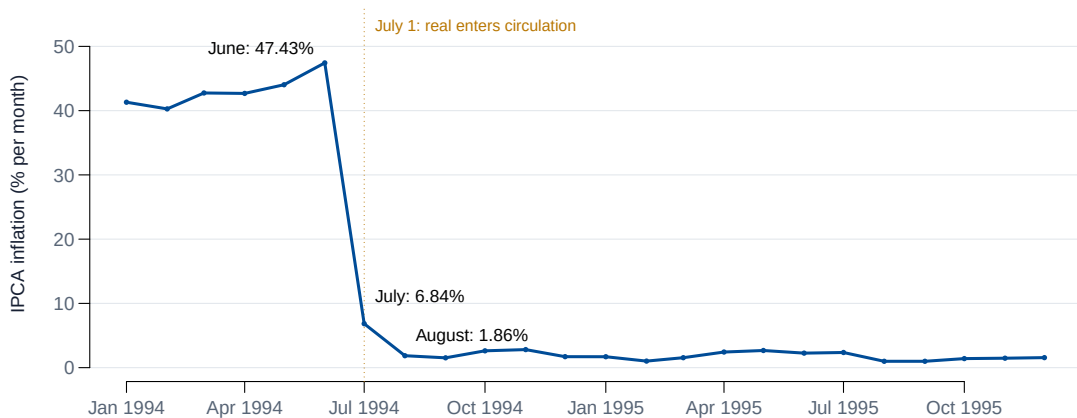
Fictional numbers: the same basket remains quoted at 10 URV.

	Earlier	Later	Real begins
Value of 1 URV	CR\$100	CR\$500	R\$1
Basket quote	10 URV	10 URV	R\$10
Amount paid	CR\$1,000	CR\$5,000	R\$10

- ▶ The amount paid in the old currency rose while the basket's URV quote stayed at 10.
- ▶ Converting 10 URV into R\$10 changed the unit. Fewer currency units did not automatically create more purchasing power.

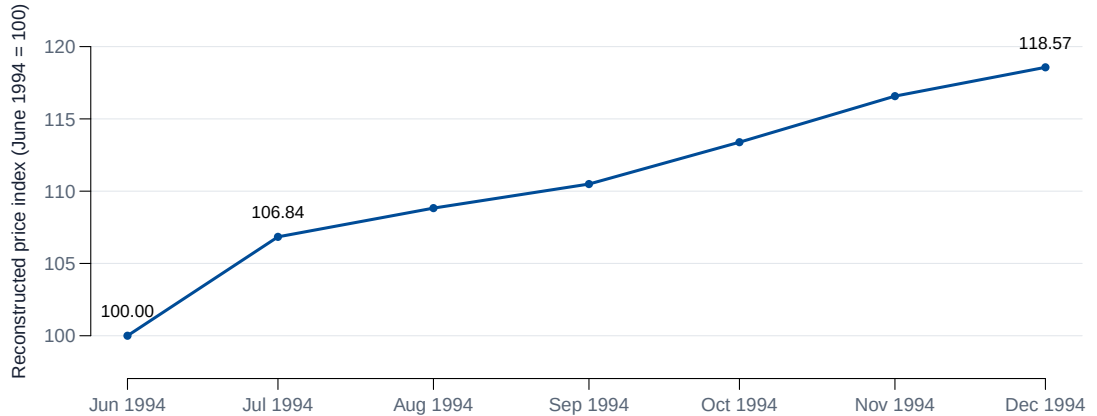
Source: Historical mechanism: BCB, The Real Plan. Numerical values are simplified for this example.

Monthly Inflation in Brazil, 1994 to 1995



Source: IBGE, IPCA; Banco Central do Brasil, SGS 433.

The Price Level After the Plano Real



Source: IBGE/BCB SGS 433. Reconstructed index, June 1994 = 100.